



WHAT IS PYRAMIDING?

Pyramiding is an advanced trading phenomenon in which the traders aim to increase their position as the stock goes into their favor.

Pyramiding involves a trader increasing his positions in a winning trade to maximize his potential profit by taking advantage of strong market trends.



This technique allows traders to compound their gains and potentially achieve higher returns.

Let us take a look at an example to understand this better.

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BSE LTD, 1D, NSE O2500.00 H2575.00 L2475.10 C2498.65 +21.70 (+0.88%)
Vol 1.87M



Imagine you took a trade in the stocks as it met with your conditions. The trade started to turn in your favor and is currently consolidating for the second time. If you see the stock meeting with our conditions for a second time, you can consider increasing your position and trail your stoploss a bit. This is called pyramiding.